

marily in the export business, are being pushed to provide ESG reports from foreign customers as part of the bidding process.

The carbon footprint of MSMEs—which contribute more than 30% to India’s GDP and are responsible for nearly 45% of exports—is sizeable at 3-4% of the country’s total carbon emissions, according to a report by the NITI Aayog.

“My clients in IT and data analytics are being asked for ESG metrics for bids called by multinationals. The trend I can see is a push-driven one, or if there is a progressive promoter who wants to push for ESG. Growth and overseas diversification are becoming bigger triggers for MSMEs to comply with ESG metrics,” Kumar Subramanian, Founding Partner and Managing Director of Sculpt Partners, tells *BT*.

In this scenario, it is becoming inevitable for value chain partners of listed and export-oriented entities to make the transition. MSMEs in the automotive, leather, and textiles sectors have started generating emission data, sourcing solar energy for operations, measures for water and energy efficiency, and waste management.

Anil Bhardwaj, Secretary General of the Federation of Indian Micro and Small & Medium Enterprises (FISME), says these efforts are limited to some industries and more concerted action is needed for MSMEs’ decarbonisation journey.

A start has been made in the Indian context with a regulatory nudge. The Securities and Exchange Board of India (Sebi) has taken the lead with its Business Responsibility and Sustainability Reporting (BRSR) Core framework. Beginning FY25, the top 250 listed companies by market capitalisation must make disclosures for the value chain under this framework on a comply-or-explain basis. They need to provide limited assurance, a less stringent form of third-party validation of value chain reporting, from FY26.

“With the BRSR, listed companies will have to provide data related to the supply chain. As of now, we don’t even have baseline emission data related to the MSME sector. We are trying to develop a template for baseline data for carbon intensity in the electrical engineering industry,” Bhardwaj says.

FISME is the national apex body of MSMEs and is

THE CARBON FOOTPRINT

- MSMEs emit 134 million tonnes of carbon dioxide annually, which is 3-4% of India’s total CO₂ emissions
- Textiles, steel re-rolling, paper, foundry, and food processing sectors are the top emitters

	CO2 emission (million tonnes)	% of MSME emissions
Textiles	26	19
Steel Re-rolling	12	10
Paper	10	8
Foundry	10	8
Food Processing	6	5

NOTE SECTOR-WISE BREAK-UP OF MSME EMISSIONS
SOURCE NITI AAYOG

working with the NITI Aayog to devise a decarbonisation road map for the sector.

“The first thing we said was that we need systems to get our processes mapped; second was assistance from experts on how we can reduce carbon emissions and resource efficiency; third was having a carbon credit marketplace; and finally, we need an agency to certify the green measures so that they are acceptable to buyer countries,” adds Bhardwaj.

The industry bodies are handholding SMEs in this journey of transition. The CII-ITC Centre of Excellence for Sustainable Development (CII-CESD), which provides advisory services, is currently engaged with more than 600 value chain partners and MSMEs in 10 industrial clusters to achieve sustainability through its ESG intelligence and analytics services, which include capacity building, ESG assessment, advisory, and reporting.

“India’s aspiration to achieve net zero can only be realised when the MSME sector, which is the backbone of the economy, makes the transition towards a low-carbon pathway. We urge our large industry members to mentor and build the capacity of their MSME value chain partners to make this transition,” says Seema Arora, Deputy Director General of CII.

There are other such examples as well. The Energy Consortium, an umbrella energy research initiative